

YETI Holdings

NYSE : YETI · \$3.73B mkt cap · 76M sh · \$114M cash, zero debt · ~\$114M net cash; ~76M shares; \$500M buyback authorization (no dividend); Revenue Mature- \$1.87B FY25 (+2% trough; Q1'26 +8%); ~14% adj op margin (tariff-compressed), ~\$212M FCF; Stanley/Owala/dupe pressure in US Company DCF drinkware; China <5% of COGS post de-risking

\$49.22

THE CENTRAL QUESTION

Is YETI a durable premium brand re-accelerating via international + new categories — or a saturated, fad-cyclical US drinkware brand whose +2% trough caps the multiple?

YETI trades at ~\$3.6B (≈\$48/sh) — ~17x FCF on \$1.87B revenue, net cash, a \$500M buyback. Growth troughed at +2% in FY2025 (US drinkware saturation + Stanley/Owala/dupes) and re-accelerated to +8% in Q1'26 on wholesale + international; tariffs compressed margins (~16.5%→14.4% adj op) but China is now <5% of COGS. The mature DCF asks whether international (20%→25% target) + new categories (bags via Mystery Ranch, cookware) + margin recovery offset the saturating core. The finding: roughly fair — the modal growth/margin-recovery path lands near spot.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$49.67 expected fair value today
+0.9% vs spot \$49.22

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$78.19	\$123.20	\$194.26	\$306.57
1.59x spot	2.50x spot	3.95x spot	6.23x spot

WEIGHTING RATIONALE

Ultra Bear 15% Fad fades; dupes win; ~\$23 (-52%).

Bear 30% US saturated; tariff drag; ~\$38 (-20%).

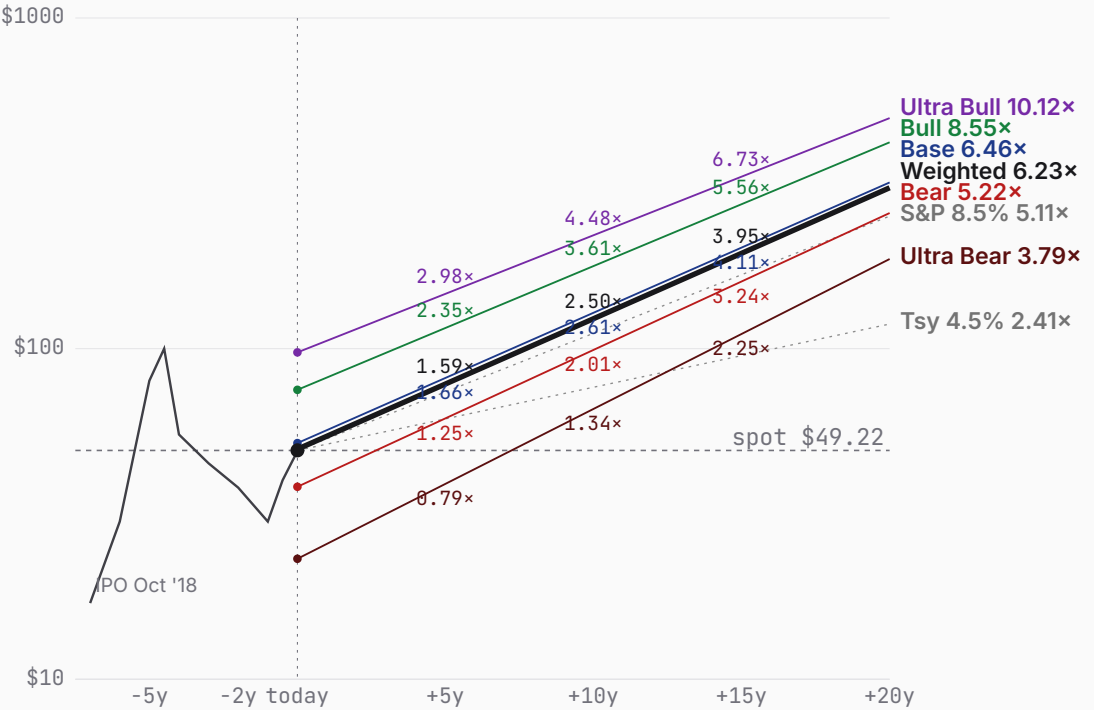
Base 33% Intl + categories offset US; ~\$52 (+8%).

Bull 17% Intl ramps; bags/cookware; ~\$75 (+56%).

Ultra Bull 5% Durable multi-category global brand; ~\$97 (+103%).

Bull (17%) + Ultra Bull (5%) together contribute \$17.63 — 36% of the \$49.67 expected value despite 22% combined probability. Today's spot (\$49.22) sits 1% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$23.15	BEAR	\$38.22	BASE	\$51.81	BULL	\$75.07	ULTRA BULL	\$97.43
	-53.0% vs spot		-22.3% vs spot		+5.3% vs spot		+52.5% vs spot		+97.9% vs spot
CAGR -1.0% WACC 11.0% CAGR -1.0% Prob 15%		CAGR +2.2% WACC 10.0% CAGR +2.2% Prob 30%		CAGR +4.6% WACC 9.5% CAGR +4.6% Prob 33%		CAGR +7.0% WACC 9.0% CAGR +7.0% Prob 17%		CAGR +9.4% WACC 8.5% CAGR +9.4% Prob 5%	
Fad fades; dupes win; US drinkware shrinks.		US saturated; modest; tariff drag lingers.		International + categories offset US; margin recovers.		International ramps; bags/cookware traction.		Durable multi-category global brand.	

PROBABILITY WEIGHTS

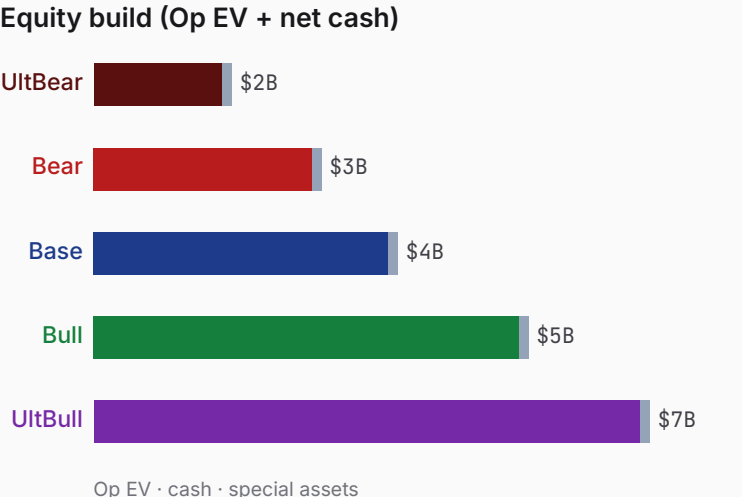
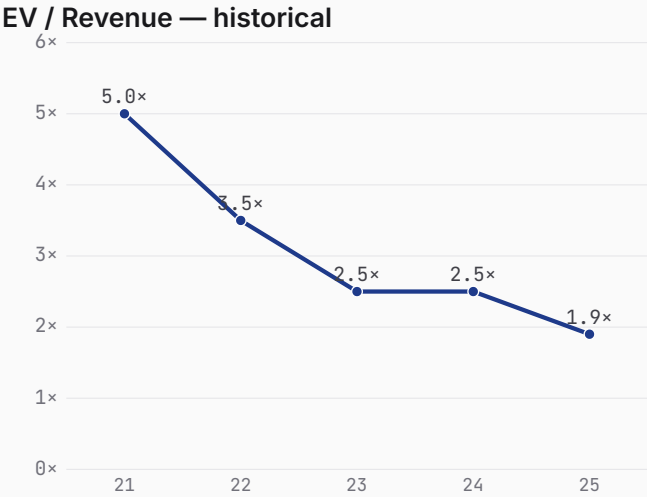
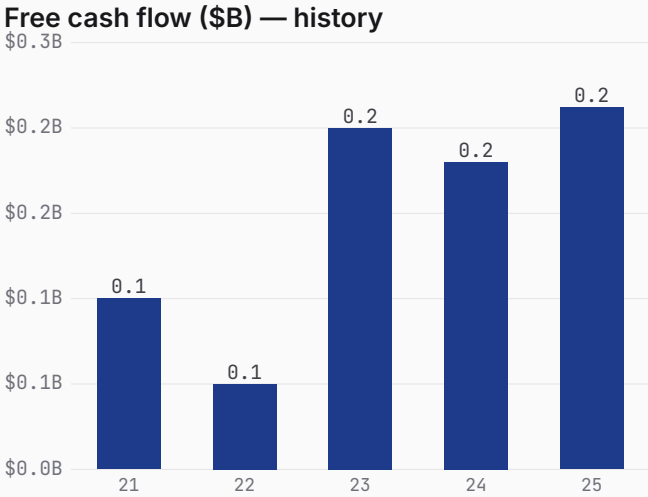
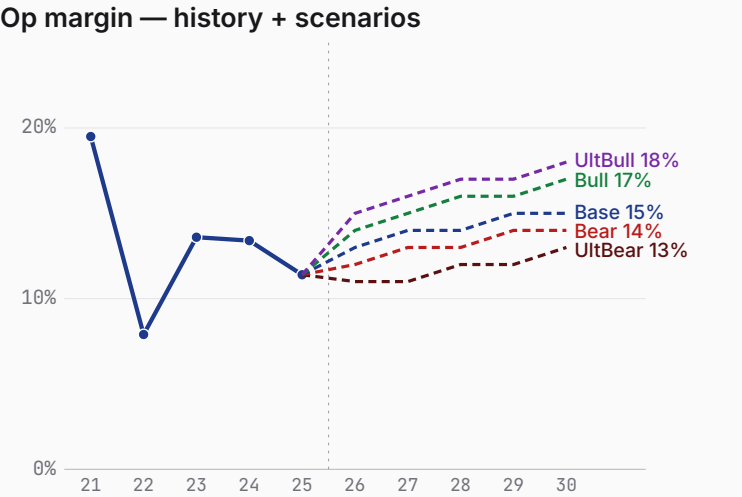
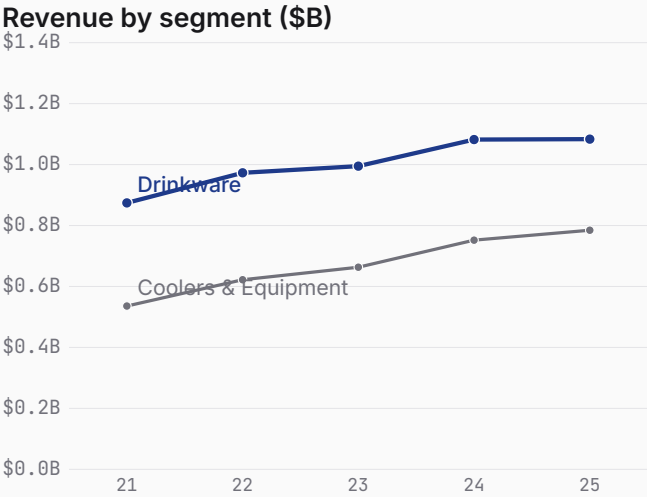
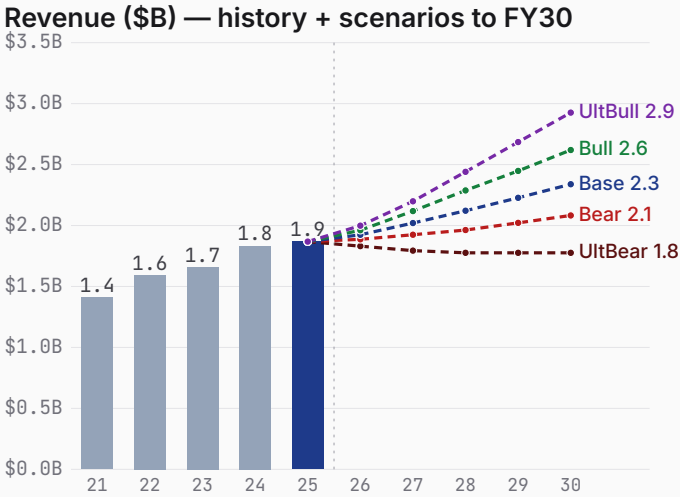
Ultra Bear 15% Bear 30% Base 33% Bull 17% Ultra Bull 5% · Weighted expected \$49.67 (+0.9% vs spot)

ULTRA BEAR	\$23.15	BEAR	\$38.22	BASE	\$51.81	BULL	\$75.07	ULTRA BULL	\$97.43
	-53.0% vs spot		-22.3% vs spot		+5.3% vs spot		+52.5% vs spot		+97.9% vs spot
Probability 15%		Probability 30%		Probability 33%		Probability 17%		Probability 5%	
Fad fades; dupes win; US drinkware shrinks.		US saturated; modest; tariff drag lingers.		International + categories offset US; margin recovers.		International ramps; bags/cookware traction.		Durable multi-category global brand.	
WHY 15%		WHY 30%		WHY 33%		WHY 17%		WHY 5%	
The fad-cyclical bear: drinkware is ~58% of sales and brand heat rotates fast. 15% weight on the trend turning against YETI.		US drinkware stays saturated and the trend doesn't reverse. 30% weight — the plausible 'stalls' path given the +2% trough.		Requires international + new categories + margin recovery, consistent with Q1'26's +8% and China <5% of COGS. 33% as the central, near-spot outcome.		International + new categories deliver and margins recover. ~17%; the diversification strategy is credible but unproven at scale.		Full category + geographic diversification works and the brand de-fads. ~5%, the asymmetric upside.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The viral tumbler trend rotates away (Stanley→Owala->next), RTIC/private-label dupes arbitrage the premium, and the international/category bets don't offset a shrinking US core. Revenue declines; margins stay tariff-pressured.		The US core stays saturated and tariffs keep margins below peak; international + categories grow but only enough to keep the total roughly flat-to-low.		The modal path: international (toward 25% of revenue) + bags/cookware offset a stabilizing US core, and margins recover as tariffs annualize and China-sourcing exits. Revenue compounds ~5%.		International scales past 25%, Mystery Ranch bags + cookware become real categories, and margins recover toward mid-teens — the brand proves durable beyond fad-cyclical drinkware.		YETI becomes a durable multi-category premium-outdoor brand (drinkware + coolers + bags + cookware) with international as a second engine, compounding ~10% at recovered margins.	
DCF ~\$23 (-52%) — a fad-exposed brand losing its core earns a distressed multiple.		DCF ~\$38 (-20%) — a dominant-but-stalled brand at ~11x FCF, below today's price.		DCF ~\$52 (+8%) — roughly fair; the growth/margin-recovery the Q1'26 +8% hints at, priced about right.		DCF ~\$75 (+56%) — category + geographic diversification re-rates the brand.		DCF ~\$97 (+103%) — the brand transcends the drinkware fad; ~5% probability.	

YETI Holdings business snapshot

Bear \$38.22 Base \$51.81 Bull \$75.07

FY21-FY25 history + FY26-FY30 scenario projections · 52/53-week fiscal year · FY2025 (Jan'26) + Q1'26 results



Sources: YETI FY2025 results (year ended Jan 3, 2026; revenue \$1.87B, FCF \$212M, net cash ~\$114M), Q1'26 (+8.3%). Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal. EV/FCF vs Helen of Troy (Hydro Flask) + Newell.

YETI Holdings7 Powers · the moat, scored

Bear \$38.22Base \$51.81Bull \$75.07

Arena. Premium outdoor drinkware + gear — YETI (brand, ~60% DTC, drinkware + coolers + new bags/cookware) vs Stanley, Owala, Hydro Flask (Helen of Troy), RTIC, Newell; defending a premium brand Power in a fad-cyclical core.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies	Sourcing/marketing leverage at ~\$1.9B revenue; modest vs housewares conglomerates.
Network Economies	Community/ambassador affinity, not a hard network.
Counter-Positioning	Premium incumbent; dupes counter-position on price.
Switching Costs	Weak — drinkware is a discretionary, swappable purchase.
Branding · thesis leans here	The dominant Power: premium pricing + outdoor credibility — durable in coolers/gear, contestable in viral tumblers.
Cornered Resource	Brand IP + design + durability reputation; real but copyable.
Process Power	Design/sourcing learning curve; modest.

PEER SET

Stanley (PMI/HAVI)	· private
US unit leader; viral surge cooling (~50% search decline 2025).	
Owala	· private
Fastest-growing brand (+~60% search); took the viral baton from Stanley.	
Hydro Flask (Helen of Troy)	-5% gr · 10% mgn · ~9x P/E
Cleanest public peer; Home/Outdoor segment declining (~-7%).	
RTIC / private label	· private
Explicit price-dupe of YETI; arbitrages the premium.	

THREAT VECTORS · FALSIFIERS

Branding · Owala / Stanley / dupes
falsifier: US drinkware revenue declines while viral share rotates to challengers.
Scale Economies · Tariffs / sourcing
falsifier: Margins stay compressed below 14% adj op for 2+ years.
Counter-Positioning · Private label / RTIC
falsifier: Sustained price competition forces YETI off its full-price model.

COMPETITIVE READ

YETI's brand Power is durable in coolers/outdoor gear but genuinely contestable in its fad-cyclical drinkware core (~58% of sales), where viral heat rotates (Stanley→Owala) and dupes arbitrage the premium. International (toward 25%) + new categories (bags/cookware) + margin recovery (China <5% of COGS) are the diversification offsets. At ~17x FCF the modal growth/margin-recovery path lands near spot — roughly fair, with the sign hinging on whether the +2% FY25 was a trough (Q1'26 +8%) or a new normal.

YETI Holdings show your work

Bear \$38.22 Base \$51.81 Bull \$75.07 · Weighted \$49.67 (+0.9%)

ULTRA BEAR					\$23.15					BEAR					\$38.22					BASE					\$51.81					BULL					\$75.07					ULTRA BULL					\$97.43				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					-1.0					5y revenue CAGR (%)					+2.2					5y revenue CAGR (%)					+4.6					5y revenue CAGR (%)					+7.0					5y revenue CAGR (%)					+9.4				
Year-5 op margin (%)					13.0					Year-5 op margin (%)					14.0					Year-5 op margin (%)					15.0					Year-5 op margin (%)					17.0					Year-5 op margin (%)					18.0				
WACC (%)					11.0					WACC (%)					10.0					WACC (%)					9.5					WACC (%)					9.0					WACC (%)					8.5				
Terminal growth (%)					0.0					Terminal growth (%)					1.5					Terminal growth (%)					2.0					Terminal growth (%)					2.5					Terminal growth (%)					2.5				
5y revenue CAGR (%)					-1.0					5y revenue CAGR (%)					+2.2					5y revenue CAGR (%)					+4.6					5y revenue CAGR (%)					+7.0					5y revenue CAGR (%)					+9.4				
Starting revenue (\$B)					1.87					Starting revenue (\$B)					1.87					Starting revenue (\$B)					1.87					Starting revenue (\$B)					1.87					Starting revenue (\$B)					1.87				
Scenario probability (%)					15					Scenario probability (%)					30					Scenario probability (%)					33					Scenario probability (%)					17					Scenario probability (%)					5				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B									
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF															
FY26	1.83	+11%	+0.17	+0.15	FY26	1.89	+12%	+0.19	+0.17	FY26	1.92	+13%	+0.21	+0.19	FY26	1.96	+14%	+0.23	+0.22	FY26	2.00	+15%	+0.26	+0.24	FY26	2.00	+15%	+0.26	+0.24	FY26	2.00	+15%	+0.26	+0.24															
FY27	1.79	+11%	+0.16	+0.13	FY27	1.92	+13%	+0.21	+0.17	FY27	2.02	+14%	+0.24	+0.20	FY27	2.12	+15%	+0.28	+0.23	FY27	2.20	+16%	+0.31	+0.26	FY27	2.20	+16%	+0.31	+0.26	FY27	2.20	+16%	+0.31	+0.26															
FY28	1.78	+12%	+0.16	+0.12	FY28	1.96	+13%	+0.22	+0.16	FY28	2.12	+14%	+0.26	+0.19	FY28	2.29	+16%	+0.32	+0.25	FY28	2.44	+17%	+0.37	+0.29	FY28	2.44	+17%	+0.37	+0.29	FY28	2.44	+17%	+0.37	+0.29															
FY29	1.78	+12%	+0.18	+0.12	FY29	2.02	+14%	+0.24	+0.17	FY29	2.23	+15%	+0.29	+0.20	FY29	2.45	+16%	+0.34	+0.24	FY29	2.68	+17%	+0.40	+0.29	FY29	2.68	+17%	+0.40	+0.29	FY29	2.68	+17%	+0.40	+0.29															
FY30	1.78	+13%	+0.18	+0.11	FY30	2.08	+14%	+0.25	+0.15	FY30	2.34	+15%	+0.30	+0.19	FY30	2.62	+17%	+0.39	+0.26	FY30	2.93	+18%	+0.47	+0.31	FY30	2.93	+18%	+0.47	+0.31	FY30	2.93	+18%	+0.47	+0.31															
Σ PV explicit FCF					+0.62					Σ PV explicit FCF					+0.83					Σ PV explicit FCF					+0.99					Σ PV explicit FCF					+1.19					Σ PV explicit FCF					+1.39				
+ PV terminal (g 0.0%)					0.96					+ PV terminal (g 1.5%)					1.85					+ PV terminal (g 2.0%)					2.63					+ PV terminal (g 2.5%)					4.03					+ PV terminal (g 2.5%)					5.32				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE									
Operating EV					\$1.58B					Operating EV					\$2.68B					Operating EV					\$3.62B					Operating EV					\$5.22B					Operating EV					\$6.71B				
+ Cash & investments					\$0.11B					+ Cash & investments					\$0.11B					+ Cash & investments					\$0.11B					+ Cash & investments					\$0.11B					+ Cash & investments					\$0.11B				
= Equity value					\$1.69B					= Equity value					\$2.79B					= Equity value					\$3.73B					= Equity value					\$5.33B					= Equity value					\$6.82B				
FY30 shares (M)					73					FY30 shares (M)					73					FY30 shares (M)					72					FY30 shares (M)					71					FY30 shares (M)					70				
= Expected per share					\$23.15					= Expected per share					\$38.22					= Expected per share					\$51.81					= Expected per share					\$75.07					= Expected per share					\$97.43				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT									
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y																
\$39.01	\$65.73	\$110.76	\$186.64		\$61.55	\$99.13	\$159.65	\$257.13		\$81.56	\$128.40	\$202.13	\$318.20		\$115.50	\$177.72	\$273.44	\$420.72		\$146.50	\$220.29	\$331.24	\$498.07		\$146.50	\$220.29	\$331.24	\$498.07		\$146.50	\$220.29	\$331.24	\$498.07																
0.79x	1.34x	2.25x	3.79x		1.25x	2.01x	3.24x	5.22x		1.66x	2.61x	4.11x	6.46x		2.35x	3.61x	5.56x	8.55x		2.98x	4.48x	6.73x	10.12x		2.98x	4.48x	6.73x	10.12x		2.98x	4.48x	6.73x	10.12x																



YETI Holdings People · Opportunity · Context · Deal

Bear \$38.22 Base \$51.81 Bull \$75.07

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Matt Reintjes

10 yrs in seat

18%

insider ownership

LOW

key-person risk

Capital allocation (realized)

No dividend; capital returned via buybacks — ~\$500M / ~13M shares repurchased over FY2024-FY2025 (~14% of shares out), incl. 8.2M shares / ~\$298M in FY2025; the board re-loaded the authorization to \$500M available as of May 2026. M&A is small/tuck-in and cash-funded: Mystery Ranch (bags) + Butter Pat (cast-iron cookware), ~\$48.5M total cash (Q1 2024) — new-category capability, not transformational. Net cash (~\$114M); capex funds capacity and new categories.

Incentive alignment

Reintjes FY2024 total ~\$7.8M (\$1.03M salary · ~\$1.67M bonus · ~\$5.12M stock) — ~85%+ at-risk/equity. LTI is 75% performance RSUs / 25% time RSUs; the PBRsUs vest on 3-yr cumulative free-cash-flow with a relative-TSR modifier (90%-of-target threshold, 200% cap, 3-yr cliff). Pay-for-performance, FCF + TSR-linked.

GOVERNANCE FLAGS

- single-class — one share, one vote (no super-voting / dual-class)
- independent Chair (Robert Shearer) separate from the CEO; board of 10, 9 independent
- classified / staggered board (three classes, three-year terms)
- founders no longer on the board — Roy Seiders resigned as a director eff. May 2021 (no disagreement); Ryan Seiders not a director
- founders retain large economic stakes (Ryan ~15%, Roy ~2%); Cortec Group (PE, majority 2012) fully exited; now institutionally held

PEOPLE READ

Professionalized, single-class, founder-aligned: a 10-yr hired CEO on FCF + relative-TSR pay, an independent chair, a clean one-share-one-vote register with no controller and PE fully exited, disciplined ~\$500M buybacks and only small cash-funded tuck-ins — the demerits are a classified board and that the deep brand expertise still sits with the now-absent founders.

THE FOUR LEGS

People

observable composite · 1–5



Opportunity

The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market purchase = the deal: entry price vs. the scenario distribution (the +4% finding) + position sizing.



YETI Holdings supporting analysis · disclaimers · glossary

Bear \$38.22 Base \$51.81 Bull \$75.07

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **Net cash, ~\$212M FCF, \$500M buyback.**
Debt-light, cash-generative, shrinking the float at ~17x FCF — capital return is real.

4 **New categories extend the brand.**
Mystery Ranch bags (\$9B+ premium-bag TAM) + Butter Pat cookware diversify beyond fad-cyclical drinkware.
- 2 **China sourcing de-risked.**
China now <5% of COGS (Vietnam/Philippines/Mexico) — the tariff drag (~\$0.35/sh) is largely an annualization headwind, not structural.

5 **Q1'26 re-accelerated to +8%.**
Wholesale +19% (best in 3 years) + international suggest the +2% FY25 was a trough, not a new normal.
- 3 **International is the engine.**
~20% of revenue growing mid-teens, Japan greenfield (2025), 25%-by-2027 target — a runway the US-saturation view misses.

FALSIFICATION TRIGGERS

Bull validation international passes 25% of revenue · bags/cookware become reported needle-movers · adj op margin recovers above 16% · wholesale rebound sustains	Bear validation US drinkware stays soft · Owala/Stanley/dupes keep taking share · margins stay tariff-compressed · new categories stall	Reframe needed if drinkware brand heat structurally rotates away (the fad ends), re-rate the core toward a commodity-housewares multiple
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Forward-looking statements. Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.	Author may hold positions. The author may own, intend to acquire, or hold short exposure to \$YETI or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.	Do your own research. Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Drinkware — YETI's tumbler/bottle core (~58% of sales, higher margin) — the fad-cyclical, most-contested category.	Mystery Ranch / Butter Pat — 2024 acquisitions: technical bags (premium-bag TAM \$9B+) + cast-iron cookware — the new-category diversification bets.	Dupes — Lower-priced look-alikes (RTIC, private label) + viral challengers (Stanley, Owala) eroding the drinkware premium.
Branding — Helmer Power: premium pricing + community/ambassadors + durability reputation — durable in outdoor, contestable in faddish tumblers.	FCF margin — Free cash flow / revenue (~11% FY25, tariff-compressed); the mature-DCF lever as margins recover.	